Technical Assistance Cluster Report

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Building Livable Urban Environments in the Pacific

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Asian Development Bank

ABBREVIATIONS

ADB	–	Asian Development Bank
DMC	–	developing member country
PWWA	–	Pacific Water and Wastewater Association
TA	–	technical assistance
TASF	–	Technical Assistance Special Fund

NOTE

In this report, “$” refers to United States dollars.

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TECHNICAL ASSISTANCE AT A GLANCE

Project Data			
Project number	59047-001	**Project name**	Building Livable Urban Environments in the Pacific
Nature of Activity	✓Capacity Development Policy Advice Project Preparation	**Modality**	Cluster
Country	REG (COO, FIJ,KIR, RMI, FSM, NAU, NIU, PAL, SAM, SOL, TON, TUV, VAN)	**Executing or implementing agency**	Asian Development Bank
Department/Office	SD2/SD2-WUD	**Geographical location**	Regional
Sector(s)	✓ Water and other urban infrastructure and services	**Subsector(s)**	Urban policy, institutional and capacity development Urban sanitation Urban solid waste management Urban water supply
Strategic Focus Area	✓ Resilience and empowerment	**Sustainable Development Goals**	SDG 6.1, 6.2 SDG 11.6, 11.7

Financing

ADB Financing	**Amount** ($ million)
Technical Assistance Special Fund	5.00
Cofinancing	**Amount** ($ million)
None	0.00
Counterpart	**Amount** ($ million)
None	0.00
Total	**5.00**

Currency of ADB Financing: US Dollar

Climate Action	
Disaster Risk Management, Environment and Nature	Nature-based Solutions (including green infrastructure)

Gender Equality		
Category	☐ Gender equality objective (GEN) ☐ Some gender elements (SGE)	☑ Effective gender mainstreaming (EGM) ☐ Indirect gender benefits (IGB)

Poverty Reduction and Inclusion	
Category	☐ Poverty reduction and inclusion focus (PIF) ☐ Poverty reduction and inclusion elements (PIE) ☑ Indirect poverty reduction and inclusion (IPI)

Regional Cooperation and Public Goods	
Category	☐ Pillar 1 ☑ Pillar 2 ☑ Pillar 3 ☐ Not applicable

Private Sector Development	
Category	☐ Yes ☑ No

Source: Asian Development Bank

I. INTRODUCTION

1. This regional technical assistance (TA) cluster, Building Livable Urban Environments in the Pacific, will support the Cook Islands, Fiji, Kiribati, the Marshall Islands, the Federated States of Micronesia, Nauru, Niue, Palau, Samoa, Solomon Islands, Tonga, Tuvalu and Vanuatu.[1] The TA provides a consolidated and flexible platform for project preparation, implementation support, knowledge generation, and capacity development to address priority urban development and water security challenges across the Pacific. Key activities include upstream diagnostics and feasibility studies for climate-resilient urban and water investments; targeted, on-demand implementation support to strengthen procurement, contract management, financial management, and environmental and social safeguards performance of ongoing projects financed by the Asian Development Bank (ADB); and the development and dissemination of regional knowledge products, training, and peer learning platforms to support resilient, inclusive, and water-secure urban development.

2. The TA is anchored in ADB's Strategy 2030 and its midterm review; the Pacific Approach;[2] ADB's Fragile and Conflict-Affected Situations and Small Islands Developing States Approach Action Plan, 2026–2030; and ADB's Strategy 2030 Urban Sector Directional Guide and Strategy 2030 Water Sector Directional Guide. [3]

II. JUSTIFICATION FOR THE CLUSTER MODALITY

3. The TA cluster modality is adopted to provide a flexible and programmatic platform for addressing the diverse and evolving urban and water sector challenges faced by Pacific developing member countries (DMCs). It enables tailored, differentiated support through complementary subprojects that respond to country-specific and regional priorities, while allowing activities to be sequenced and adjusted in line with capacity constraints and resource availability. This approach supports phased implementation and the delivery of solutions that are appropriately scaled and adapted to the Pacific context.

4. The cluster modality also improves efficiency, coherence, and results tracking by consolidating related support under a single framework, thereby reducing fragmentation across multiple stand-alone TAs. By structuring activities into discrete subprojects that can be designed, resourced, monitored, and closed independently, the cluster strengthens accountability, transparency, and efficiency.

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[1] No in-country activities are planned in the Cook Islands, Niue, Nauru, Papua New Guinea, Tonga, and Vanuatu. These countries will be invited to participate in regional training and workshops. If in-country activities are proposed during TA cluster implementation, formal no objections will be secured prior to the start-up of TA activities.

[2] ADB. 2021. *Pacific Approach 2021–2025*.

[3] ADB. 2026. *Pathways to Resilience: ADB's Fragile and Conflict-Affected Situations and Small Island Developing States Approach Action Plan, 2026–2030;* ADB. 2022. *Strategy 2030 Urban Sector Directional Guide: Toward Making Cities More Livable in Asia and the Pacific;* and ADB 2022. *Strategy 2030 Water Sector Directional Guide: A Water-Secure and Resilient Asia and the Pacific.* The TA first appeared in the business opportunities section of ADB's website on 26 May 2026.

III. THE TECHNICAL ASSISTANCE CLUSTER

A. Impact and Outcome

5. The TA impact is aligned with the following impact: more livable, water-secure, and climate-resilient urban centers in the Pacific region.[4] The outcome is improved quality, delivery, and sustainability of investments for resilient, water-secure, and inclusive urban development in the Pacific.

B. Outputs, Methods, and Activities

6. Each TA cluster subproject will deliver on one of the following outputs, as specified in each TA cluster subproject proposal.

7. **Output 1: Water and urban development investments assessed, planned, and structured for financing.** This output will support upstream diagnostics, support investment planning, and assist in identifying the optimal financing mix for priority investments (i.e., public, private, or public–private partnerships). The TA will strengthen sovereign project design quality by supporting robust technical, economic, financial, and institutional due diligence, and integrating assessed climate change and disaster risk and mitigation measures. The TA will also support measures to promote high project implementation readiness. Recognizing the limited implementation capacity of many implementing agencies in Pacific DMCs, the TA will support the design of appropriate, context-specific implementation arrangements. This will include assessing institutional capacity and implementation risks early in project design and tailoring project scope, procurement packaging, implementation schedules, and contract strategies accordingly. These measures will help ensure that ensuing projects are both technically sound and implementable, reducing delivery risks.

8. **Output 2: Project implementation support delivered.** This output will provide targeted, on-demand project implementation support to strengthen the performance of ongoing ADB-financed water and urban development projects in Pacific DMCs. Support to authorities of fragile and conflict-affected situations and small island developing states will focus on short-term support for independent engineering design reviews, technical troubleshooting, procurement and contract management, financial management support, and environmental and social safeguards compliance. The TA will also prepare project performance improvement action plans for *at risk* projects to strengthen overall water and urban development portfolio performance in Pacific DMCs. This output will also help to strengthen project implementation by building the capacity of regional consultants, as well as recent university and college graduates from the Pacific, through mentoring and training attachments with project implementation units.

9. **Output 3: Knowledge solutions for sustainable and resilient urban development and water security strengthened.** This output will strengthen knowledge development to support resilience building for urban centers and water security in Pacific DMCs. The TA will deliver practical knowledge products and services such as briefs, case studies, and webinars. This output will also support regional capacity building through events such as the annual conferences of the Pacific Water and Wastewater Association (PWWA), as well as other learning exchanges.

[4] The design and monitoring framework is in the Appendix.

C. Cost and Financing

10. The TA cluster financing amount is $5,000,000, which will be financed on a grant basis by ADB's Technical Assistance Special Fund (TASF), of which $4,000,000 is from TASF 8 and $1,000,000 is from TASF-other sources. Additional financing from both internal and external sources will be sought during implementation to scale up support under the TA cluster to meet additional requests for assistance from Pacific DMCs.

11. For each TA subproject, the government will provide counterpart support in the form of counterpart staff, office accommodation, and other in-kind contributions. Further details will be outlined in the respective TA subproject reports. The governments will also be informed that approval of a TA subproject does not commit ADB to finance any ensuing project. The total TA cluster amount is broken down per output in Table 1.

Table 1: Cost Breakdown per Output

Output	Indicative Cost ($)	Percentage of TA Amount (%)
Output 1: Water and urban development investments assessed, planned, and structured for financing	2,350,000	47
Output 2: Project implementation support delivered	2,000,000	40
Output 3: Knowledge solutions for sustainable and resilient urban development and water security strengthened	650,000	13
Total	**5,000,000**	**100**

TA = technical assistance.
Source: Asian Development Bank estimates.

12. The breakdown of total TA amount per DMC is in Table 2.

Table 2: Cost Breakdown per Developing Member Country

DMCs Covered Under the TA	Indicative Cost ($)	Percentage of TA Amount (%)
Fiji	107,143	2
Kiribati	161,651	3
Republic of the Marshall Islands	861,651	17
Federated States of Micronesia	511,651	10
Palau	161,651	3
Samoa	407,143	8
Solomon Islands	823,127	16
Tuvalu	751,698	15
Regional[a]	1,214,286	24
Total	**5,000,000**	**100**

DMC = developing member country, TA = technical assistance.
[a] Includes research and training activities to be delivered at the regional level.
Note: Figures in table may not sum due to rounding.
Source: Asian Development Bank estimates.

D. Implementation Arrangements

13. ADB is the executing agency and will administer the TA through the Southeast Asia and Pacific Team of the Water and Urban Development Sector Office, Sectors Department 2. The Water and Urban Development Sector Office will work with other ADB teams, including the Office of Markets Development and Public–Private Partnerships, the Pacific Department's private sector

development team and country heads of operations, and the Climate Change and Sustainable Development Department, in the implementation of individual TA activities.

14. Implementation arrangements are summarized in Table 3.

Table 3: Implementation Arrangements

Aspects	**Arrangements**		
Indicative implementation period	July 2026–April 2030		
Executing agency	ADB		
Implementing agencies	SEAP, SD2-WUD; for subproject 1, PWWA is proposed as an implementing agency for one output, which will be confirmed based on due diligence undertaken during subproject processing.		
Consultants	To be selected and engaged by ADB		
	Firms: QCBS, SCQS	Feasibility studies, technical analysis, investment planning, and capacity building	$3,670,000
	Individual consultant selection with open competitive bidding with international or national advertisement, resource person, and framework agreement	Capacity building, advisory support, and due diligence	$1,030,000
Procurement	To be procured by ADB or consultants		
	Request for quotations	Goods; survey equipment; software; nonconsulting services (e.g., survey, workshop facilitation, conference meetings, learning exchange, coordination)	$300,000
Advance contracting	Advance recruitment of consultants before the approval of individual subprojects will be encouraged to minimize subproject start-up delays.		
Disbursement	Disbursement of TA resources will follow ADB's *Technical Assistance Disbursement Handbook* (2020, as amended from time to time). Under subproject 1, it is envisioned that an advance payment facility will be established for transfer of funds to PWWA's 2026 annual conference. This disbursement arrangement will be subject to financial management due diligence results to be conducted as part of preparation of subproject 1.		

Aspects	Arrangements
Asset turnover or disposal arrangement upon TA completion	Fixed assets acquired under the TA cluster subprojects will be turned over to the relevant government agencies upon completion of the respective subprojects.

ADB = Asian Development Bank; PWWA = Pacific Water and Wastewater Association; QCBS = quality- and cost-based selection; SCQS= simplified consultants' qualifications selection; SD2-WUD = Water and Urban Development Sector Office, Sectors Department 2; SEAP = Southeast Asia and Pacific Team; TA = technical assistance.
Source: ADB.

15. **Subprojects.** The TA cluster will be implemented initially through six subprojects.[5] Each subproject will be designed to support the achievement of the cluster outputs during the implementation period. The indicative implementation period and budget allocation for the subprojects are summarized in Table 4. Additional subprojects will be added during TA cluster implementation as financing becomes available based on Pacific DMC requests for TA support.

Table 4: Indicative Implementation Period and Budget Allocation for Subprojects

Item	Subproject Title	Implementation Period	Budget ($'000)
Subproject 1	Supporting Project Implementation and Capacity Building in Water and Urban Development in the Pacific	July 2026–June 2028	2,150.00
Subproject 2	Preparing the Samoa Climate-Resilient Water Supply and Sanitation Project	September 2026–April 2027	300.00
Subproject 3	Supporting Knowledge Management and Innovation in the Pacific	January 2027–December 2028	500.00
Subproject 4	Strengthening Capacities for the Circular Pacific via Regional Recycling Network	July 2026–November 2027	1,000.00
Subproject 5	Preparing the FSM Water Security and Resilience Improvement Project	January 2027–March 2028	350.00
Subproject 6	Preparing the Marshall Islands Urban Resilience Project	January 2027–November 2028	700.00

FSM = Federated States of Micronesia.
Source: Asian Development Bank.

16. **Consulting services.** ADB will engage consultants following the ADB Procurement Policy (2017, as amended from time to time) and its associated staff instructions.[6] ADB will engage firms using the quality- and cost-based selection method (90:10) and the simplified consultants' qualifications selection method to prepare investment master plans, prepare feasibility studies, and deliver targeted capacity support. The individual experts will be engaged using individual consultant selection and will be recruited to undertake advisory support, undertake analytical work, and support capacity-building and knowledge-sharing activities. The experts will be supplemented through the engagement of resource persons to provide short-term on-demand support. In cases where a framework agreement already exists for the expertise required, rather than recruiting individual experts through individual consultant selection, individual experts may be engaged through issuance of a call-off (a contract that draws upon the terms agreed in the framework contract). Direct contracting for individuals and firms may be considered when justified as the

[5] Cluster Subproject Descriptions (Annex 1).
[6] Terms of Reference for Consultants (Annex 2).

most appropriate method.[7] Procurement of goods related to studies and surveys for knowledge or data gathering will use request for quotations as a procurement method.

17. **Transfer of funds.** Funds transfer using an advance payment facility will be used to streamline payment for conference-related expenditures of up to $100,000 (airfares, per diems, venue hire, and other miscellaneous conference-related expenditures) for PWWA's annual conferences.[8] As part of preparation of subproject 1, which will support the 2026 PWWA conference, a financial management capacity assessment of PWWA will be conducted to confirm that it has sufficient financial management capacity to adequately manage the advance payment facility. The funding will not lead to any potential adverse environmental and/or social impacts.

IV. THE PRESIDENT'S DECISION

18. The President, acting under the authority delegated by the Board, has approved the provision of technical assistance not exceeding the equivalent of $5,000,000 on a grant basis for Building Livable Urban Environments in the Pacific, and hereby reports this action to the Board.

[7] Direct contracting may be considered for contracts under $100,000. For contracts of $100,000 or more, single-source selection will be used only for (i) follow-on tasks that constitute a direct, demonstrable continuation of the expert's prior work, where a change of expert would create material inefficiencies or implementation risk; or (ii) assignments for which only one individual is demonstrably qualified and available, or possesses unique or exceptional experience that cannot be readily substituted without material risk to quality or outcomes.

[8] To cover small payments, where reimbursement would create cash flow problems for PWWA.

DESIGN AND MONITORING FRAMEWORK

Impact of the TA is Aligned with More livable, water-secure, and climate-resilient urban centers in the Pacific region (Strategy 2030 Midterm Review; and Strategy 2030 Water Sector Directional Guide)[a]			
Results Chain	**Performance Indicators**	**Data Sources and Reporting Mechanisms**	**Risks and Critical Assumptions**
Outcome Improved quality, delivery, and sustainability of investments for resilient, water-secure, and inclusive urban development in the Pacific	By 2031 a. Annual financing commitments for water and other urban infrastructure and services in the Pacific reach at least $50 million, of which at least 50% have a primary strategic focus area of "climate action" (2025 baseline: $167 million) (DR3)[b] b. At least 80% of projects prepared under the TA achieve a project implementation readiness level greater than 80% (2025 baseline: 67%) c. No more than 6% of projects in the Pacific WUD portfolio are rated as *at risk* for 4 or more consecutive quarters (2025 baseline: 0%) d. At least three strategies or plans adopted by Pacific DMC governments are informed by TA-supported knowledge products or advisory inputs (2025 baseline: Not applicable)	a.–c. ADB project documents d. Government records	R: Change in government priorities results in downstream ADB financing not ensuing R: External shocks negatively impact project performance
Outputs 1. WUD investments assessed, planned, and structured for financing 2. Project implementation support delivered	By 2030 1a. Feasibility studies and/or due diligence assessments conducted for at least three WUD projects (2026 baseline: 0) 2a. At least six WUD project implementing agencies report implementing consultant	1a. TA monitoring reports 2a.–c. TA monitoring reports	R: Low capacity among Pacific DMCs to support TA activities

Results Chain	Performance Indicators	Data Sources and Reporting Mechanisms	Risks and Critical Assumptions
	recommendations (2026 baseline: 0) 2b. At least three independent engineering design reviews conducted (2026 baseline: 0) 2c. 100% of projects rated *at risk* for more than 1 quarter have performance action plans (2026 baseline: 0%)		
3. Knowledge solutions for sustainable and resilient urban development and water security strengthened	3a. At least four WUD knowledge products and/or services delivered and adopted by DMCs (2026 baseline: 0) 3b. Cross-sector, integrated climate-resilient urban development solutions identified for at least one urban center in the Pacific (2026 baseline: 0) 3c. At least 70% of participants who participate in TA-supported knowledge events and training report increased knowledge (2026 baseline: not applicable)	3a.–c. TA monitoring reports	

Key Activities with Milestones

1. Output 1: WUD investments assessed, planned, and structured for financing

1.1 Project preparation and investment planning activities discussed and agreed with implementation agencies (September 2026–March 2027)

1.2 Investment master plans developed, projects designed, financing approach assessed, and due diligence conducted (January 2027–September 2028)

2. Output 2: Project implementation support delivered

2.1 Requests for support from implementing agencies assessed and agreed (July 2026–March 2028)

2.2 Project improvement plans prepared for projects that are rated *at risk* for 2 or more quarters (November 2026–April 2028)

2.3 Project implementation support delivered (July 2026–June 2028)

3. Output 3: Knowledge solutions for sustainable and resilient urban development and water security strengthened

3.1 Knowledge and training events designed and convened (August 2026–November 2028)

3.2 WUD knowledge needs assessed in discussion with sector agencies (March 2027–December 2027)

3.3 Knowledge products and services prepared and disseminated (April 2027–November 2028)

TA Management Activities

TA management will be ongoing through the life of the TA and will include hiring consultants, managing

contracts for technical studies on a regular basis, and conducting annual TA review to monitor utilization of TA funds, progress on TA performance indicators, and consultants' performance.
Inputs ADB: $5,000,000 Note: DMC governments will provide counterpart support in the form of counterpart staff, office accommodation, and other in-kind contributions.

ADB = Asian Development Bank, DMC = developing member country, DR = development result, R = risk, TA = technical assistance, WUD = water and urban development.

[a] ADB. 2024. *Strategy 2030 Midterm Review: An Evolution Approach for the Asian Development Bank*; and ADB. 2022. *Strategy 2030 Water Sector Directional Guide: A Water-Secure and Resilient Asia and the Pacific*.

[b] The 2025 commitment figure is large because of approval of a large infrastructure project in Fiji in 2025 and is not representative of annual commitments.

Contributions to ADB's Development Results and Alignment with the Sustainable Development Goals

A summary of the TA contributions to ADB's development results and alignment with the Sustainable Development Goals are presented in the Contributions to Strategy 2030 Development Results page in eOperations. This information is available from the TA team upon request.

Source: ADB.